Beacon Plaza — Investment / Sales Offering Memorandum (Revised)

Office asset, Charlotte, NC | Revision 1, effective roll date 2026-09-01 | Supersedes the 2026-08-31 version, which remains in the audit archive | Original fictional evaluation material; no real transaction

Revision Summary — What Changed

Source-backed analysis. Assumptions remain subject to diligence.

This revision applies revision-notice.pdf p.1 and the revised certified rent roll dated 2026-09-01 (rent-roll-revised.xlsx), which supersedes the 2026-08-31 roll. Three substantive changes flow through: (1) Suite 010 is now active rather than pending, raising occupancy to 10 of 12 suites and 55,150 of 66,360 SF; (2) Suite 010's scheduled monthly rent increased by $225 to $11,275, lifting all-suite scheduled rent to $135,125 per month, or $1,621,500 annually; (3) the initial sizing rate increases 75 basis points from 6.7500% to 7.5000% and the capitalization rate increases 25 basis points from 7.5000% to 7.7500%.

Net effect: underwritten EGI rises $2,565 to $1,544,625, NOI before reserves rises $2,488 to $1,045,022 and NCF rises to $1,041,422, but the higher capitalization rate reduces indicated value by $416,298 to $13,484,158. The LTV test remains binding, so the maximum loan falls $249,779 to $8,090,495 and net cash-out falls $247,281 to $1,464,590. Prior versions of the workbook and memorandum are unchanged and remain available in the audit archive.

Item	Initial (8/31 roll)	Revised (9/1 roll)	Change
Occupied units (active)	9	10	+1
Pending units	1	0	-1
Occupied area SF	49,770	55,150	+5,380
Unit occupancy	0.7500	0.8333	+0.0833
Area occupancy	0.7500	0.8311	+0.0811
Annual in-place rent	$1,214,100	$1,349,400	+$135,300
Gross potential rent	$1,618,800	$1,621,500	+$2,700
Underwritten EGI	$1,542,060	$1,544,625	+$2,565
Underwritten NOI before reserves	$1,042,534	$1,045,022	+$2,488
Underwritten NCF	$1,038,934	$1,041,422	+$2,488
Capitalization rate	7.5000%	7.7500%	+25 bps

Item	Initial (8/31 roll)	Revised (9/1 roll)	Change
Sizing rate	6.7500%	7.5000%	+75 bps
Capitalized value	$13,900,456	$13,484,158	-$416,298
Maximum loan	$8,340,274	$8,090,495	-$249,779
Net cash-out	$1,711,871	$1,464,590	-$247,281

Executive Summary

Source-backed analysis. Assumptions remain subject to diligence.

Beacon Plaza is a 12-suite, 66,360 SF office asset in Charlotte, NC. On the controlling revised certified roll dated 2026-09-01, ten suites totalling 55,150 SF are in active possession and two suites (011 and 012) are vacant; no suite remains in pending status. Unit occupancy is 0.8333 and area occupancy is 0.8311. Annual in-place rent on active suites is $1,349,400. The manager's earlier 10-of-12 leased headline, which had counted an unpossessed pending suite, now coincides with physical occupancy because Suite 010 has taken possession.

Underwriting follows the original instructions with only the two revised rates. All-suite scheduled rent of $1,621,500 less a 5% economic loss plus $350 per suite of other income gives EGI of $1,544,625. After taxes of $169,974, insurance of $56,658, other recurring expenses of $226,632 and a 3% management fee of $46,339, NOI before reserves is $1,045,022; after $300 per suite of replacement reserves, NCF is $1,041,422. Capitalized at 7.7500%, indicated value is $13,484,158.

Debt sizing at the revised 7.5000% sizing rate over a 30-year amortization produces a maximum loan of $8,090,495, again bound by the 60.00% LTV test (DSCR limit $9,929,449; debt-yield limit $11,571,358). After the 1% origination fee of $80,905, $45,000 of closing costs and the unchanged $6,500,000 payoff, net cash-out is $1,464,590. Asking price, photographs, market sales and rent comparables and sponsor history are not supplied in the packet and have not been assumed.

Property Overview

Property facts are unchanged by the revision except for the roll date and Suite 010's status and rent.

Item	Value	Source
Property name	Beacon Plaza	manager-cover.pdf p.1
Market	Charlotte, NC	manager-cover.pdf p.1
Asset type	Office	manager-cover.pdf p.1
Total suites	12	rent-roll-revised.xlsx Rent Roll A5:A16
Total area	66,360 SF	rent-roll-revised.xlsx Rent Roll C5:C16

Item	Value	Source
Controlling roll date	2026-09-01	rent-roll-revised.xlsx Rent Roll B2; revision-notice.pdf p.1
Insurance in force	GL aggregate $2,000,000; 2026-07-01 to 2027-06-30	insurance.pdf p.1
Asking price / photos / comps / sponsor history	Not supplied — unknown	underwriting-instructions.pdf p.1

Suite Mix and Group Detail

Group mapping is unchanged: A = Small suite, B = Standard suite, C = Large suite (manager-cover.pdf p.1). Occupancy counts only suites in active possession. Group A is now fully occupied following Suite 010's possession.

Group	Suite type	Suites	Occupied (active)	Area SF	Monthly rent per suite
A	Small suite	4	4	21,520	$11,050 (Suite 010 at $11,275)
B	Standard suite	4	3	22,000	$11,200
C	Large suite	4	3	22,840	$11,475
Total		12	10	66,360	$135,125 (all suites)

Lease and Occupancy Analysis

Suite 001 is unaffected by the revision: the executed lease provides monthly base rent of $11,050, expiration 2027-02-28, 5,380 SF, a $22,100 security deposit and no free-rent concession as of the evaluation date (lease-001.pdf p.1), and manager correspondence dated August 31, 2026 confirms no amendments or new concessions (lease-correspondence.pdf p.1). The revision notice states that prior executed Suite 001 amendments continue to apply; no such amendment document is in the packet and the certified rent of $11,050 is consistent across the executed lease and both certified rolls, so no rent change is recorded for Suite 001. No unsigned rent proposal is contained in the packet.

Suite 010's rent increase of $225 per month to $11,275 is documented by the revision notice and appears on the revised certified roll; it is a manager-certified change rather than an unsigned proposal. The 2026-06-30 archive roll and the 2026-08-31 certified roll are both superseded and are retained only for the change bridge.

Rollover exposure is unchanged. Suite 001 expires 2027-02-28, within twelve months of the analysis date, covering 5,380 SF (8.1% of area) and $132,600 of annual in-place rent (9.8% of revised in-place rent). All other active suites expire 2029-08-31, outside the near-term horizon.

Measure	Value	Basis
Occupied units (active possession)	10	rent-roll-revised.xlsx D5:D16
Pending units (not in possession)	0	rent-roll-revised.xlsx D14 now 'active'
Vacant units	2 (Suites 011, 012)	rent-roll-revised.xlsx D15:D16
Unit occupancy	0.8333	10 / 12
Area occupancy	0.8311	55,150 / 66,360 SF
Annual in-place rent (active suites)	$1,349,400	$112,450/mo x 12
All-suite scheduled annual rent (GPR)	$1,621,500	$135,125 x 12
Vacant area to lease	11,210 SF (Suites 011, 012)	rent-roll-revised.xlsx C15:C16

Historical versus Underwritten Financials

The trailing twelve months ended 2026-08-31 is unchanged by the revision and remains a cash statement of collections rather than an annualized roll. Reported NOI of $1,003,656 equals collections of $1,456,920 less taxes, insurance and other recurring expenses. The roof replacement is a capital item reported at $0 within repairs, so no reclassification from operating expenses is needed. The statement does not separately report a management fee, replacement reserves or NCF; those historical amounts are unknown, not zero.

Revised underwritten EGI exceeds T12 collections mainly because scheduled rent is applied to all twelve suites, including the two vacant ones, with a single 5% economic loss deduction. Reimbursement income is already embedded and has not been double counted.

Line	T12 actual (2025-09-01 to 2026-08-31)	Underwritten (revised)
Collections / effective gross income	$1,456,920	$1,544,625
Real estate taxes	$169,974	$169,974
Insurance	$56,658	$56,658
Other recurring operating expenses	$226,632	$226,632
Roof replacement in repairs	$0 (capital)	$0
Management fee (3% of EGI)	Not reported — unknown	$46,339
Total operating expenses	$453,264	$499,603
NOI before reserves	$1,003,656 (reported)	$1,045,022
Replacement reserves ($300/suite)	Not reported — unknown	$3,600

Line	T12 actual (2025-09-01 to 2026-08-31)	Underwritten (revised)
Net cash flow after reserves	Not reported — unknown	$1,041,422

Valuation, Debt Sizing and Sources / Uses

NOI before reserves is capitalized at the revised 7.7500% rate, giving an indicated value of $13,484,158. The 25 basis point cap rate increase reduces value by roughly $416,000 despite the modest NOI gain, illustrating the dominance of the yield assumption over the rent change. This is an income-approach indication only; no sales comparables are supplied.

DSCR and debt yield are sized on NCF after reserves at the revised 7.5000% sizing rate over a 30-year monthly amortization. LTV remains the binding test at $8,090,495. At that loan amount the implied DSCR on underwritten NCF is approximately 1.53x and the NCF debt yield is approximately 12.87%, so both credit tests retain cushion even after the 75 basis point rate increase; the debt-service coverage cushion narrowed from about 1.60x in the initial analysis.

Proceeds still exceed the $6,500,000 payoff plus transaction costs, so no refinance shortfall or additional equity requirement arises; the cash-out to the sponsor is $247,281 lower than in the initial analysis.

Test / Item	Amount	Notes
Capitalized value	$13,484,158	$1,045,022 / 7.7500%
LTV limit (60.00%)	$8,090,495	Binding constraint
DSCR limit (1.25x, 7.5000%, 30-yr)	$9,929,449	Non-binding
Debt yield limit (9% of NCF)	$11,571,358	Non-binding
Maximum loan	$8,090,495	Minimum of the three tests
Use: existing loan payoff	$6,500,000	underwriting-instructions.pdf p.1; unchanged
Use: origination fee (1%)	$80,905	1% of sized loan
Use: closing costs	$45,000	underwriting-instructions.pdf p.1
Total uses	$6,625,905	
Net cash-out to sponsor	$1,464,590	Positive; no additional equity required

Risks and Missing Diligence

Occupancy presentation: resolved. The revised certified roll shows Suite 010 in active possession, so no unpossessed pending suite is counted as occupied and the manager's 10-of-12 figure now matches physical occupancy. This risk was present in the prior version and is cured by the revised roll.

Near-term rollover: still present. Suite 001 (5,380 SF, $132,600 annual rent) expires 2027-02-28, inside the twelve-month window; renewal terms, tenant credit and downtime assumptions are not supplied.

Rate and value sensitivity: the revision raised the sizing rate 75 basis points and the cap rate 25 basis points, cutting indicated value and proceeds. Further cap rate expansion would reduce the LTV-constrained loan roughly proportionally, as shown in the workbook sensitivity grid; the LTV test binds across the tested range.

Remaining lease-up: 11,210 SF in Suites 011 and 012 is vacant while the prescribed underwriting credits all-suite scheduled rent net of a 5% loss factor. Achieving the underwritten NOI still requires lease-up at roll rents, and the 5% factor does not by itself reflect that gap.

Capital expenditure: the roof replacement is identified as capital and reported at $0 within repairs, so the historical ledger classification is clean; no property condition report is available to confirm remaining capital needs or the adequacy of $300 per suite of reserves.

Insurance: general liability coverage of $2,000,000 aggregate is in force through 2027-06-30. Property, casualty and business-interruption terms, deductibles and lender-required limits are not in the packet.

Documentation gap: the revision notice references prior executed Suite 001 amendments, but no amendment document is supplied and the manager's August 31, 2026 confirmation states none affect Suite 001. Contractual rent for Suite 001 is therefore carried at the certified and executed $11,050; the amendment file should be obtained to close the reference.

Incomplete routine diligence: legal, environmental, property condition and title reviews remain incomplete (diligence-status.pdf p.1). No contamination, litigation, fraud or structural finding is asserted or implied.

Not supplied and explicitly unknown: asking price, photographs, market sales and rent comparables, sponsor history, tenant financial statements, monthly T12 detail, historical management fee and reserve lines, and the Suite 010 lease document itself (its terms are known only from the certified roll and the revision notice).

Source Notes

All figures derive solely from the eleven documents supplied. The 2026-09-01 revised certified roll and the revision notice control; earlier rolls are superseded and retained only for the change bridge. The initial workbook and memorandum remain in the audit archive and are not replaced.

Document	Location	Use
rent-roll-revised.xlsx	Rent Roll A2:G16	Controlling roll: Suite 010 active at $11,275; suites, area, statuses, expirations
revision-notice.pdf	p.1	Supersession, Suite 010 change, +75 bps sizing rate, +25 bps cap rate, payoff unchanged
rent-roll-certified.xlsx	Rent Roll A2:G16	Prior 2026-08-31 roll; superseded, used for change bridge

Document	Location	Use
rent-roll-archive.xlsx	Rent Roll A2:G16	Stale 2026-06-30 roll; superseded, not used
lease-001.pdf	p.1	Suite 001 executed terms; no free rent
lease-correspondence.pdf	p.1	No amendments or concessions affecting Suite 001
operating-statement.pdf	p.1	T12 collections, expenses, reported NOI, roof treatment
insurance.pdf	p.1	GL aggregate limit and policy period
underwriting-instructions.pdf	p.1	Base underwriting, capitalization, sizing and sources/uses rules
manager-cover.pdf	p.1	A/B/C group mapping, approved copy, control language
diligence-status.pdf	p.1	Status of routine third-party diligence